INNOVATION MANAGEMENT

Capsule 5

The different types of innovation

There are different types of innovation.

A first essential distinction: technological innovation and market innovation. Market innovation consists in offering something new (a new product or a new market); technological innovation consists in using a new technology.

The transistor is a purely technological innovation, the basis of all modern electronics. Airbnb, by contrast, is a market innovation: it is a matchmaking platform that does not rely on any particular technical feat, just a good idea well executed. And the two are often combined: the transistor radio of the 1950s was both a technological innovation, through the use of the transistor, and a market innovation, because it made possible and accessible a new product: the portable radio.

A second distinction: the degree of innovation. We speak of radical innovation when something completely new appears, such as the very first iPhone. And of incremental innovation when the existing is gradually improved, such as the later versions of the same iPhone. This boundary is never entirely clear-cut: it is often a matter of perception and degree, and even the innovations that seem most radical to us always build, in reality, on what existed before.

Finally, innovations can be classified according to their nature. Product innovation is a new or improved good, such as a foldable smartphone. Service innovation concerns an intangible offer: this is the case of Uber, which offers a service connecting drivers and passengers. Process innovation concerns the way things are made or delivered, like the standardised production line that allowed McDonald’s to serve its customers faster. And business model innovation concerns the way money is made: this is what Netflix did when it moved from renting DVDs by mail to streaming subscriptions.

Remember this analytical grid: technological or market, radical or incremental, and product, service, process or business model. It will serve us throughout the course to analyse concrete cases of innovation.

English translation of the French script reviewed and approved by the instructor (September 2026). In the video, the image and voice are generated by an AI avatar of the instructor.